

Contestant Number: \_\_\_\_\_

Time: \_\_\_\_\_

Rank: \_\_\_\_\_



# ADVANCED ACCOUNTING (110)

## STATE 2022

### CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) \_\_\_\_\_ (50 points)

### APPLICATION KNOWLEDGE:

Short Answer (24 @ 2 points each) \_\_\_\_\_ (48 points)

Job 1 - Depreciation \_\_\_\_\_ (44 points)

Job 2 – Balance Sheet/Financial Ratios \_\_\_\_\_ (68 points)

Job 3 – Plant Asset Transactions \_\_\_\_\_ (36 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(246 points)***

## Test Time: 90 minutes

### **GENERAL GUIDELINES:**

*Failure to adhere to any of the following rules will result in disqualification:*

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

### **EXAM GUIDELINES:**

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

**Multiple Choice – 2 points each**

1. The amount recorded in the cash credit column of the Cash Payments journal when you pay the payroll represents the \_\_\_\_\_ for the pay period.
  - a. total gross earnings
  - b. total regular earnings
  - c. total deductions
  - d. total net pay
2. With terms of sale of 2/15, n/30, what does the 2 represent?
  - a. The percentage taken off your amount due if you pay within the discount period.
  - b. The number of days within the discount period.
  - c. The number of discount periods allowed for your payment.
  - d. The dollar amount of discount if you pay within the discount period.
3. Equipment damaged in a storm is to be discarded. The original cost was \$30,000, and the accumulated depreciation has been \$12,500 to date. The salvage value is \$1,000. What will be your credit?
  - a. Credit to accumulated depreciation for \$12,500.
  - b. Credit to loss on plant assets for \$16,500.
  - c. Credit to cash for \$17,500.
  - d. Credit to Equipment for \$30,000.
4. Which of the following is an example of the Historical Cost concept?
  - a. Paying \$2,500 for a piece of equipment and debiting Equipment for that amount.
  - b. Splitting the liabilities on a Balance Sheet into current and long-term liabilities.
  - c. Using the allowance method of uncollectible accounts year after year.
  - d. Only reporting the mileage driven by the owner on her car for business reasons as a business expense.
5. Who authorizes the payment of a dividend?
  - a. Board of Directors
  - b. CEO
  - c. CFO
  - d. Shareholders
6. Borrowing money to obtain needed capital is an example of \_\_\_\_\_.
  - a. debt financing
  - b. equity financing
  - c. establishing a line of credit
  - d. issuing a promissory note
7. What type of expenses are paid for in one fiscal period but not reported as expenses until a later fiscal period?
  - a. Accrued expenses.
  - b. Unearned expenses.
  - c. Prepaid expenses.
  - d. Unrecorded expenses.

8. Selling a truck is shown under what section of the Cash Flows Statement?
  - a. Operations
  - b. Investing
  - c. Noncash
  - d. Financing
9. What depreciation method has the percentages of depreciation determined by the IRS?
  - a. Straight-line
  - b. Units of Production
  - c. MACRS
  - d. Double-Declining Balance
10. Using the LIFO method each year is an application of what accounting concept?
  - a. Matching Expenses with Revenue
  - b. Going Concern
  - c. Consistent Reporting
  - d. Full Disclosure
11. What is the formula to determine Working Capital?
  - a. Current Assets + Current Liabilities
  - b. Current Assets – Current Liabilities
  - c. Quick Assets + Current Liabilities
  - d. Quick Assets – Current Liabilities
12. Paying cash for merchandise inventory would be listed on the statement of cash flows as \_\_\_\_\_.
  - a. an operating activity.
  - b. an investing activity.
  - c. a financing activity.
  - d. a credit activity.
13. What advantages do common shareholders have over preferred shareholders?
  - a. greater return on investment
  - b. company management
  - c. voting rights
  - d. first right to dividends
14. Miller Company purchases a storage unit for \$250,000. The storage unit requires \$25,000 worth of repairs and maintenance to get the storage unit ready for use. What will be the recorded cost of the storage unit?
  - a. \$225,000
  - b. \$250,000
  - c. \$275,000
  - d. \$300,000
15. How are partnership earnings distributed?
  - a. Always equally.
  - b. According to how long the partners have been in business.
  - c. According to the partnership agreement.
  - d. According to the age and experience of each partner.

16. Issuing capital stock is shown under what section of the Cash Flows Statement?
  - a. Operations
  - b. Investing
  - c. Noncash
  - d. Financing
17. Which ratio shows the relationship of quick assets to current liabilities?
  - a. Current ratio.
  - b. Working capital ratio.
  - c. P/E ratio.
  - d. Acid test ratio.
18. What costing method results in the highest net income in a period of falling prices?
  - a. FIFO
  - b. LIFO
  - c. Weighted average
  - d. Lower of cost or market
19. Markinson and Jessup Co. has an accounts receivable turnover ratio of 9.1. What is the average number of days for payment?
  - a. 39
  - b. 40
  - c. 41
  - d. 42
20. What is a disadvantage of the partnership ownership structure?
  - a. More investment capital
  - b. Sharing of work and responsibilities
  - c. Being liable for your partner's actions.
  - d. Complex tax structures.
21. Which ratio shows the relationship of assets and stockholders' equity?
  - a. Equity ratio.
  - b. Debt ratio.
  - c. Debt to equity ratio.
  - d. Current ratio.
22. What advantage do preferred shareholders have over common shareholders?
  - a. greater return on investment
  - b. company management
  - c. voting rights
  - d. first right to dividends
23. What account is debited when you draw cash on your line of credit?
  - a. Cash
  - b. Line of Credit
  - c. Notes Payable
  - d. Interest Expense

24. What method of depreciation results in the lowest asset book value after year 1?
- Straight-line.
  - Double-declining balance.
  - Sum-of-the-Year's digits.
  - Can't determine without the purchase date.
25. If a corporation records a net loss, what account is credited when closing Income Summary?
- Capital Stock
  - Retained Earnings
  - Dividends
  - Income Summary

**Short Answer Problems – 2 points each**

1. On November 7<sup>th</sup>, 2021, WKRP Communications accepted a note from Michael Bird for an extension of time on his overdue Accounts Receivable. The 6%, 90-day note covered his entire outstanding balance due of \$2,350. WKRP Communications uses the Allowance method for uncollectible accounts.

- a. Show the entry on November 7<sup>th</sup>
- |                        |              |
|------------------------|--------------|
| Account Debited _____  | Amount _____ |
| Account Credited _____ | Amount _____ |
- b. Show the adjusting entry on December 31<sup>st</sup>, 2021
- |                        |              |
|------------------------|--------------|
| Account Debited _____  | Amount _____ |
| Account Credited _____ | Amount _____ |

2. Give the December 31<sup>st</sup>, 2021 adjusting entries for Deli Delights, given each of the following pieces of information.

- a. Paid \$9,000 on December 1<sup>st</sup>, 2021 to local radio station for six-month advertising contract
- |                        |              |
|------------------------|--------------|
| Account Debited _____  | Amount _____ |
| Account Credited _____ | Amount _____ |
- b. Merchandise Inventory balance on December 31<sup>st</sup> = \$485,360; Physical count = \$504,700
- |                        |              |
|------------------------|--------------|
| Account Debited _____  | Amount _____ |
| Account Credited _____ | Amount _____ |
- c. Aging of Accounts Receivable shows a needed balance of \$1,890 for the Allowance for Uncollectible Accounts. Current balance = \$420 debit.
- |                        |              |
|------------------------|--------------|
| Account Debited _____  | Amount _____ |
| Account Credited _____ | Amount _____ |

3. J&S Corporation had an outstanding Capital Stock balance on January 1<sup>st</sup>, 2021 of 125,000 shares, \$5.00 par value stock. On July 1<sup>st</sup>, J&S issued an additional 20,000 shares at par. Retained Earnings on January 1<sup>st</sup>, 2021 was \$347,235. The Board of Directors declared a dividend on December 15<sup>th</sup> of \$0.70 per share, to be paid on January 15<sup>th</sup>, 2022. The 2021 Income Statement shows that J&S earned a net income of \$205,800. Find the following balances that will be shown on the December 31, 2021 Statement of Stockholders' Equity, as well as the EPS at the end of the year.

- a. Capital Stock \_\_\_\_\_
- b. Retained Earnings \_\_\_\_\_
- c. Total Stockholders' equity \_\_\_\_\_
- d. Earnings Per Share \_\_\_\_\_

### **Job 1 – Depreciation - 44 Points**

Outdoor World purchased two plant assets during 2021. On January 4<sup>th</sup> the company purchased a forklift for \$6,000. The forklift has an estimated life of 5 years, and a salvage value of \$500. On October 2<sup>nd</sup> the company purchases shelving for \$4,000. The shelving has an estimated life of 8 years, and no salvage value. Outdoor World uses the double-declining balance method of depreciation. Compute the depreciation for 2021, 2022, and 2023 for each asset, and then answer the questions below.

|      | Forklift            |                          |                   | Shelving            |                          |                   |
|------|---------------------|--------------------------|-------------------|---------------------|--------------------------|-------------------|
|      | Annual Depreciation | Accumulated Depreciation | Ending Book Value | Annual Depreciation | Accumulated Depreciation | Ending Book Value |
| 2021 |                     |                          |                   |                     |                          |                   |
| 2022 |                     |                          |                   |                     |                          |                   |
| 2023 |                     |                          |                   |                     |                          |                   |

- a. Assume you sell the forklift on January 2<sup>nd</sup>, 2024 for \$1,530.  
 Would you have a gain or loss on the sale? \_\_\_\_\_  
 What is the amount of the gain or loss? \_\_\_\_\_
- b. Assume you sell the shelving on January 2<sup>nd</sup>, 2024 for \$2,000.  
 Would you have a gain or loss on the sale? \_\_\_\_\_  
 What is the amount of the gain or loss? \_\_\_\_\_

**Job 2 – Balance Sheet, Financial Ratios – 68 Points**

Part 1 - Complete the Balance Sheet. Calculate all Totals, and find the Retained Earnings for each year.

Perform a horizontal analysis by finding the \$ and % increase or decrease from 2020 to 2021. 1 point each

| Quick-Mart                               |  |  |         |         |                     |         |
|------------------------------------------|--|--|---------|---------|---------------------|---------|
| Comparative Balance Sheet                |  |  |         |         |                     |         |
| December 31, 2021 and 2020               |  |  |         |         |                     |         |
|                                          |  |  |         |         | Increase / Decrease |         |
|                                          |  |  | 2021    | 2020    | Dollars             | Percent |
| <b>ASSETS</b>                            |  |  |         |         |                     |         |
| Cash                                     |  |  | 47,590  | 41,625  |                     |         |
| Accounts Receivable                      |  |  | 89,520  | 68,120  |                     |         |
| Merchandise Inventory                    |  |  | 142,215 | 150,200 |                     |         |
| Supplies                                 |  |  | 3,975   | 3,180   |                     |         |
| Total Current Assets                     |  |  |         |         |                     |         |
| Office Equipment                         |  |  | 85,410  | 75,350  |                     |         |
| Store Equipment                          |  |  | 23,960  | 25,500  |                     |         |
| Total Plant Assets                       |  |  |         |         |                     |         |
| Total Assets                             |  |  |         |         |                     |         |
| <b>LIABILITIES</b>                       |  |  |         |         |                     |         |
| Accounts Payable                         |  |  | 71,100  | 74,710  |                     |         |
| Employees' Federal Inc. Tax Payable      |  |  | 2,450   | 2,270   |                     |         |
| Social Security Tax Payable              |  |  | 780     | 725     |                     |         |
| Medicare Tax Payable                     |  |  | 205     | 185     |                     |         |
| Federal Unemployment Tax Payable         |  |  | 120     | 100     |                     |         |
| State Unemployment Tax Payable           |  |  | 405     | 390     |                     |         |
| Sales Tax Payable                        |  |  | 3,960   | 4,355   |                     |         |
| Total Liabilities                        |  |  |         |         |                     |         |
| <b>STOCKHOLDERS' EQUITY</b>              |  |  |         |         |                     |         |
| Capital Stock                            |  |  | 150,000 | 150,000 |                     |         |
| Retained Earnings                        |  |  |         |         |                     |         |
| Total Stockholders' Equity               |  |  |         |         |                     |         |
| Total Liabilities & Stockholders' Equity |  |  |         |         |                     |         |

Part 2 - Find the following Financial Ratios for Quick-Mart using the Balance Sheet on the prior page. Quick-Mart's Net Income was \$52,400 in 2021, and \$46,900 in 2020. 2 points each.

|                         | <u>2021</u> | <u>2020</u> |
|-------------------------|-------------|-------------|
| a. Current Ratio        | _____       | _____       |
| b. Debt to Equity Ratio | _____       | _____       |
| c. Debt Ratio           | _____       | _____       |

### **Job 3 – Plant Asset Transactions - 36 Points**

Journalize the following transactions for 2022 using the General Journal on the following page. Equipment is depreciated using Double-Declining Balance, and Vehicles are depreciated using Units-of-Production. Use the following accounts for the entries.

|                                      |                                  |
|--------------------------------------|----------------------------------|
| Cash                                 | Accounts Payable                 |
| Accounts Receivable                  | Depreciation Expense - Equipment |
| Equipment                            | Depreciation Expense - Vehicle   |
| Accumulated Depreciation – Equipment | Gain on Plant Assets             |
| Vehicle                              | Loss on Plant Assets             |
| Accumulated Depreciation – Vehicle   |                                  |

January 5 – Purchased a new truck for \$15,000, plus a trade-in of an old truck. The cost of the old truck was \$28,000, with accumulated depreciation through December 31, 2021 of \$12,700

April 15 – Sold shelving for \$1,500. Original cost \$3,000. Accumulated Depreciation through December 31, 2021 was \$1,400. Additional depreciation to be recorded is \$300. (2 entries)

July 3 – Purchased computers on account, Cost \$4,000, Salvage Value \$500, Useful Life 5 years.

October 6 – Bought a car for \$22,000 in cash. Salvage value \$5,000. Estimated useful life 100,000 miles.

December 31 – Journalize the adjusting entry for depreciation on the computers that were purchased on July 3<sup>rd</sup>.

December 31 – Journalize the adjusting entry for depreciation on the car purchased October 6<sup>th</sup>. The car was driven 11,500 miles.

General Journal

| Date | Account | Debit | Credit |
|------|---------|-------|--------|
|      |         |       |        |
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